PRD: White-Label Payments on Razorpay (USD)

1. Overview

PayCo will not build its own payment processing. It will plug a ready-made gateway (Razorpay's US product) into the PayCo platform, and every screen, link, email and API that PayCo's clients and their customers see will carry PayCo's brand. The features are the same as the main PRD: pay-in, payouts, dashboard and APIs in USD; only the engine underneath changes.

What PayCo builds vs what Razorpay does

PayCo builds (our product)	Razorpay does (underneath)
Branded checkout, payment links and pages	Card and ACH processing with US banks and networks
Merchant onboarding screens and dashboard	Regulated merchant verification and risk decisions
PayCo API, SDKs and webhooks	Payment authorization, capture, refunds
Pricing, invoicing and support for our clients	Settlement of funds to the merchant's bank account
Supplier payouts experience (with a payouts partner)	PCI DSS Level 1 card data handling

Goals

- Go live with branded USD pay-in in 10–14 weeks, without our own processing licence or bank.
- No Razorpay name visible in the normal client or customer journey.
- Earn a margin over Razorpay's cost on every transaction.
- Keep the option to add a second gateway or move to our own rails later without clients changing their integration.

Assumptions: US merchants, USD only. "PayCo" is a placeholder name.

2. Partner fit: Razorpay US

Razorpay's US product covers USD pay-in well, but it does not list supplier payouts or a white-label platform programme, so those two must be confirmed with Razorpay or filled by other partners.

Per Razorpay's US pricing reference (updated May 2026), the US entity operates through US banking and processing partners, is PCI DSS Level 1, and takes amounts in cents.

Capability we need	Razorpay US	Gap / action
Cards (Visa, Mastercard, Amex, Discover, Diners)	Yes	—
Apple Pay	Yes	Google Pay not listed: confirm
ACH direct debit	Yes, T+5 settlement	—
Payment Links, Payment Pages, plugins (Shopify, WooCommerce, Magento)	Yes	Plugins show Razorpay branding: we build our own PayCo plugins
API, SDKs (web, iOS, Android, server), webhooks	Yes	—
Card settlement to merchant	T+2 business days	—
White-label / platform programme (create and manage client accounts under PayCo)	Not listed publicly	**Must confirm with Razorpay sales before signing**
Supplier payouts (ACH, RTP / FedNow, wire, push-to-card)	Not listed for US	Add a payouts partner (US bank or payouts API)
Subscriptions, invoices	Not listed for US	Build in our layer on top of saved payment methods, or confirm

Decision gate: if Razorpay cannot offer a sub-merchant / platform model in the US (section 3), use a gateway that does (e.g. Stripe Connect) behind the same PayCo layer. The rest of this PRD does not change.

3. Integration model

We pick the **sub-merchant model**: every PayCo client gets its own account at the gateway, created by PayCo through API, and money settles straight from the gateway to the client's bank. PayCo never holds client funds.

	A. Sub-merchant model (chosen)	B. Master-merchant model (avoid)
How it works	PayCo's partner account creates one gateway account per client; PayCo adds its fee on each payment	All payments go into one PayCo gateway account; PayCo later pays each client
Who holds client money	Gateway, then the client's bank	PayCo
Licences PayCo needs	None for pay-in (gateway is the regulated party)	Likely state money transmitter licences + FinCEN registration, and card-network rules usually forbid it without payfac registration
Chargebacks and refunds	Debited from the client's own gateway balance	All land on PayCo's account
Gateway risk view	Per client, clear	One account mixing many businesses: high chance of freeze
Effort for PayCo	Needs gateway's platform / partner API	Simpler API, much bigger legal risk

How PayCo earns in model A

- **Preferred:** the gateway deducts a PayCo platform fee from each payment and pays it to PayCo (split / application fee).
- **Fallback:** the gateway charges the client its rate and PayCo bills the client separately each month for its own markup or subscription.

Requirements on the gateway (ask Razorpay)

- API to create, verify and manage client accounts under PayCo's partner account.
- Our own branding on hosted checkout, emails, receipts and card statement descriptors.

- Platform fee split on each payment, or reporting good enough to bill clients ourselves.
- Webhooks for all client accounts delivered to PayCo.
- Contract terms on who covers client losses (negative balances).

4. White-label map

Everything a client or customer touches day to day is PayCo-branded; the gateway's name appears only in legal terms and a few bank-level records.

Touchpoint	Who sees it	Branding	How
Checkout (web + mobile)	End customer	PayCo / client	Our own checkout UI calling gateway APIs, or gateway's hosted checkout with our logo if allowed
Payment links and pages	End customer	PayCo	Hosted on PayCo domain (e.g. pay.payco.com)
Receipts and payment emails	End customer	PayCo / client	Sent by PayCo; gateway emails turned off
Card statement descriptor	End customer	Client name (+ PayCo prefix if wanted)	Set per client through gateway API, if supported
Signup, onboarding, KYB screens	Client	PayCo	Our UI; documents passed to gateway by API
Dashboard, reports, invoices	Client	PayCo	Built from gateway data + our ledger
API, SDKs, docs, webhooks	Client's developers	PayCo	api.payco.com wrapping the gateway; webhooks re-signed with PayCo keys
Plugins (Shopify, WooCommerce)	Client	PayCo	Our own plugins
Support	Client	PayCo	PayCo support team is first line; we escalate to gateway
Bank deposit description	Client	May show gateway's name	Bank-level; usually cannot be changed

Touchpoint	Who sees it	Branding	How
Legal terms	Client	Gateway + PayCo	Client must accept gateway's sub-merchant terms inside our signup

Rule: PayCo must never claim to be the licensed processor; the client terms name the gateway as the payment processor.

5. Functional requirements

The feature list matches the main PRD; below is what PayCo builds itself and what it passes through to the gateway.

5.1 Pay-in

- **Checkout:** PayCo-branded web checkout and iOS / Android SDKs; cards, Apple Pay, ACH debit at launch (whatever the gateway supports); payment method order, logo and colours set per client.
- **Payment flow:** client server calls `POST /v1/orders` on PayCo → PayCo creates the order on the gateway under the client's sub-account → customer pays on PayCo checkout → gateway webhook → PayCo updates its ledger and sends a PayCo-signed webhook to the client.
- **Payment Links and Pages:** built and hosted by PayCo on its own domain, each creating a gateway order underneath.
- **Invoices and subscriptions:** built in PayCo's layer if the gateway does not offer them in the US (schedules, reminders, retries using saved payment methods).
- **Refunds:** full and partial, from PayCo dashboard or API, passed to the gateway.
- **Settlement:** gateway pays the client's bank (cards T+2, ACH T+5 on Razorpay US); PayCo shows each settlement with fees in its dashboard.
- **Disputes:** gateway notifies PayCo; client uploads evidence in PayCo dashboard; PayCo forwards it to the gateway before the deadline.

5.2 Payouts (via a payouts partner)

Razorpay US does not list supplier payouts, so PayCo adds a US payouts partner (a bank with payments APIs or a payouts API company) behind the same adapter.

- Client funds a PayCo payout balance held in the partner bank's FBO account (ACH debit, inbound wire / ACH).

- Recipients with bank account or debit card; account verification; OFAC screening; W-9 collection (Phase 2).
- Single, bulk (CSV) and payout-link payouts by ACH, Same Day ACH, RTP / FedNow, wire, push-to-card.
- Approval workflows, roles, limits, idempotency; statuses `queued` → `processing` → `paid` / `returned` / `failed`.

5.3 Client onboarding

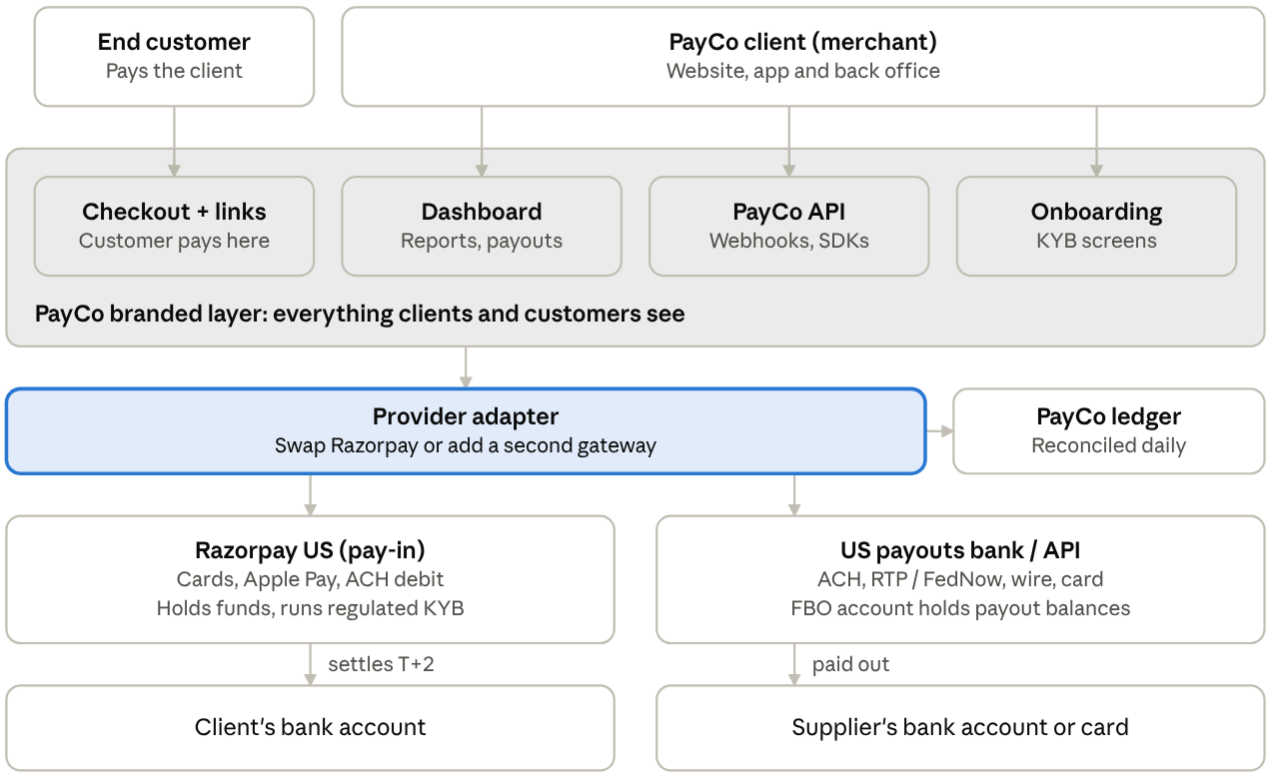
1. Client signs up on PayCo; test keys issued instantly (PayCo sandbox backed by gateway test mode).
2. PayCo collects business and owner details (EIN, owners with 25%+, controlling person, bank account) in its own UI.
3. PayCo creates the client's gateway sub-account by API and submits the details.
4. Gateway runs regulated KYB / KYC and returns approved, more-info-needed or rejected; PayCo shows the result in its UI and asks for anything missing.
5. On approval, live PayCo keys are activated; payouts enabled after the payouts partner's own checks.

5.4 Dashboard

Same as the main PRD: home metrics, transactions, settlements, payouts, links and pages, developers (keys, webhooks, logs), team and roles, reports. Data comes from PayCo's own ledger, kept in sync with gateway webhooks and daily settlement reports.

6. Architecture

PayCo owns every layer the client touches plus its own ledger; Razorpay and a payouts bank sit behind a provider adapter and are never called by clients directly.



White-label architecture · PayCo layer over Razorpay and a payouts bank

Pay-in money goes from the customer to Razorpay and straight to the client's bank; only payout balances sit in the payouts bank's FBO account, never in a PayCo account.

7. Developer platform

Clients integrate only with PayCo's API at api.payco.com; PayCo translates each call to the gateway, so the gateway can be swapped without clients changing code.

7.1 Endpoint mapping (example)

PayCo API	What PayCo does	Gateway / partner call underneath
`POST /v1/orders`	Validates, stores in PayCo ledger, picks client sub-account	Create order on gateway for that sub-account
`GET /v1/payments/{id}`	Returns PayCo's record (synced by webhooks)	Fetch payment only when out of sync

PayCo API	What PayCo does	Gateway / partner call underneath
`POST /v1/payments/{id}/refund`	Checks limits and balance, logs	Gateway refund API
`POST /v1/payment_links`	Creates link on PayCo domain	Gateway order when the customer opens the link
`GET /v1/settlements`	PayCo's settlement view with fees	Gateway settlement reports
`POST /v1/recipients`	Stores recipient, runs OFAC screen	Payouts partner: create counterparty
`POST /v1/payouts`	Checks balance, approvals, limits	Payouts partner: ACH / RTP / wire / card
`POST /v1/accounts` (partner use)	Creates client in PayCo	Gateway sub-account creation

7.2 IDs and data

- PayCo issues its own IDs (`pay_…` , `ord_…`); the gateway's IDs are stored internally and never shown to clients.
- Amounts in cents, currency `usd` , matching the gateway.
- Idempotency keys on all create calls, passed through to the gateway.

7.3 Webhooks

- PayCo receives gateway webhooks for all sub-accounts, verifies the gateway signature, updates its ledger, then sends its own event (e.g. `payment.succeeded` , `refund.succeeded` , `payout.paid`) signed with the client's PayCo webhook secret.
- Retries with backoff for 24 hours; event IDs for de-duplication; delivery logs in the dashboard.
- A nightly job compares PayCo's ledger with gateway settlement reports to catch missed webhooks.

7.4 SDKs, plugins and sandbox

- PayCo-branded JS, iOS and Android SDKs and server libraries (Node, Python, PHP, Java).
- Our own Shopify and WooCommerce plugins (Phase 2).
- Sandbox backed by the gateway's test mode, with PayCo test keys and test cards.

8. Compliance and risk

In the sub-merchant model the gateway and the payouts bank carry the payment licences, so PayCo's compliance work is much lighter than building its own gateway, but not zero. **Confirm with US payments counsel.**

Area	Gateway / partner covers	PayCo still must
Payment licences (money transmission, card acquiring)	Yes, as the regulated processor	Never hold client funds; never present itself as the processor
Client KYB / KYC	Final regulated checks and decisions	Collect accurate data, pass it on, block clients the gateway rejects
PCI DSS	Card data in gateway vault (Level 1)	Use gateway-hosted card fields or tokenization so card numbers never touch PayCo servers (SAQ A)
Fraud and chargebacks	Network-level fraud tools, dispute handling	Monitor own clients, set limits; contract may make PayCo liable for client losses
Payouts (BSA / AML, OFAC, Nacha)	Partner bank's compliance programme	Run screening and monitoring the bank requires; keep records
Privacy and security	—	GLBA safeguards, state privacy laws, SOC 2 Type II, encrypted storage of client and owner data
Taxes	Gateway files 1099-K for client card volume (confirm)	1099-NEC handling for supplier payouts if offered

Key risks

- **Gateway freezes or terminates PayCo's partner account:** all clients stop at once. Mitigation: adapter layer with a second gateway ready.
- **Price changes:** our margin sits on top of their rate. Mitigation: volume-tier contract with notice periods.

- **Feature gaps:** we can only offer what the gateway supports. Mitigation: build missing pieces (invoices, subscriptions) in our layer.

9. Pricing and unit economics

On Razorpay's standard US rates, PayCo's margin is about 20 cents on a $100 card payment, so a negotiated partner rate or a subscription fee is needed for a real business.

Cost side from Razorpay US pricing (May 2026, standard plan; custom and enterprise rates are negotiated):

Item	Razorpay cost to us	Proposed PayCo price	PayCo margin on a $100 payment
US cards, Apple Pay	2.70% + $0.30	2.90% + $0.30	$0.20
Foreign cards	+1.20% on top	+1.50% on top	$0.50
ACH direct debit	0.50%, capped at $5	0.80%, capped at $5	$0.30 (falls to $0 above $1,000, when both hit the cap)
ACH return	$5	$10	$5 per return
Refunds	Free	Free	—
Supplier payouts	Payouts partner's quote	As in main PRD (e.g. ACH $0.50, RTP $2)	Depends on partner

Ways to improve margin

1. Negotiate a platform rate with Razorpay (their enterprise tier starts above $10M annual volume) and keep our list price at market level.
2. Add a monthly PayCo subscription per client (e.g. $29–$99) for dashboard, invoicing and payouts features.
3. Charge for value-added features: instant payouts, payout links, subscriptions, advanced reports.
4. Route volume to a cheaper second gateway once the adapter supports it.

Open questions

- [ ] Does Razorpay US offer a white-label partner / sub-merchant programme, and on what terms? (Go / no-go.)

- [ ] Can we fully brand hosted checkout, emails and statement descriptors through Razorpay?
- [ ] Platform fee split per payment, or do we bill clients separately?
- [ ] Who covers client losses (negative balances) under the Razorpay contract?
- [ ] Which payouts partner: a US bank with payments APIs or a payouts API company?
- [ ] Is Google Pay supported on Razorpay US?
- [ ] Backup gateway choice (e.g. Stripe Connect) if Razorpay says no.